

Q#07 What is franchising? Discuss its future?

Franchise :-

A Business in which the operator pays a mixture of upfront & ongoing fees in order to license the brand name & supporting resources of a parent company.

Future of franchising :-

The future of franchising is indeed bright, & the number & variety of U.S. franchise are expected to continue to grow.

* Franchise Trade Shows:-

When searching out the appropriate franchise for you, you should consider attending franchise trade shows. At these sites, franchisors display their products and are available to discuss various issues with you. The largest is sponsored by (IFA) International Franchise Association annual convention & is endorsed by the department of commerce.

* Expected Areas of growth:-

The industries that especially lend themselves to franchising are restaurants, motels, convenience stores, electronic, automotive parts, accessories & servicing. Not all franchise in these categories are of a quality worthy of selection, nor are these categories the only ones worthy of consideration, but they do appear to be good growth areas.

* Restaurants:-

The success of restaurants especially those offering fast food is related to many variables including demographic factors.

such as the high percentage of young adults & singles in the population & the increasing number of women working outside the home.

*** Motels :-** The motel has experienced explosive growth since the interstate highway system began in 1956 & the growing affluence & mobility of Americans created a market for quality motels.

*** Convenience stores :-** while the term convenience store is usually associated with food outlets it can cover other types of specialty shops. some example of these franchises are the bread basket T-shirts plus, & Health Mart.

*** Technology :-** With the rapid growth in electronic fields such as music, video, TV, & computers, franchising has naturally followed.

*** Global Franchising :-**

The success achieved by some U.S. franchises has resulted in growing

global interest & opportunity. One survey found that an estimated 20 percent of U.S. franchisors operate internationally by means of company units master licensees individual franchises or joint venture.

Franchise also help the U.S. balance of trade Germany, Canada, Japan, United Kingdom are our biggest sources of export revenue.

***Turning your dreams into Reality:-**

We've presented much information to help you decide whether or not you want to go into franchising you've also been told how to investigate whether a franchise is right for you or not.